do better in their decision making. This arrangement harnesses the incentives of individual MPC members to get them to make better decisions, and avoids the problem of centralized power with one person.

The present design of the Indian MPC still gives too much power to the RBI governor. The MPC has three RBI staffers and three external people; and the RBI governor has the casting vote. This implies that even if all of the external members have a contrary view, the RBI governor still controls the outcome. In this sense, the reform has not yet induced adequate dispersion of power, as is the case with a bench of judges where no one person dominates.

Deploy incentives with care

Caution in setting up high-powered incentives

Economists are proud of having understood how people respond to incentives. The simple-minded application of this idea into management and public policy, however, leads to many difficulties.

It is easy to propose very high monetary pay-offs in return for a simple measure of performance. In the 1860s, the US Congress paid railroad builders per kilometre of rail. This gave incentives to builders to take the longest route between two points. [5]

When such ‘high-powered incentives’ are set up, the agent single-mindedly focuses on achieving that measure, and sacrifices everything else. When a financial trader is paid millions of dollars of bonuses in return for high trading profit, the trader tends to take very high risks. Such risk-taking is probably not what the employer had in mind.

In the confines of simplistic microeconomic models, incentives work out nicely. In the real world, there are many objectives, and it is seldom possible to capture all aspects of performance into an incentive formula. Under these conditions, the simplistic use of high-powered incentives gives